

Dependency of Industry on Them

(Suppliers Needs the Industry Less Than Industry Needs Them)

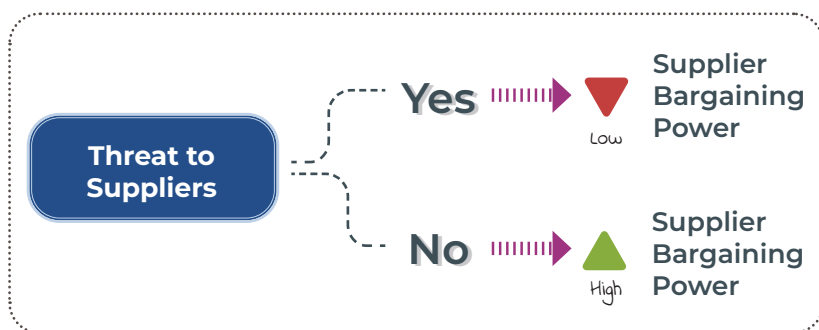
(High/Moderate/Low)

Dependency	Supplier Power
Industry More Dependent	 High Supplier Bargaining Power
Indsutry Less Dependent	 Low Supplier Bargaining Power

Some industries are highly dependent on a particular supplier industry for their survival, while other suppliers are less critical for the success of the given industry.

Can the Industry Threaten to Vertically Integrate into its Suppliers Business?

(Yes/No)



If the industry threatens to vertically integrate into its suppliers' business, the suppliers would always be under threat of new entry and would be at a competitive disadvantage. As a result, they will have low bargaining power.